largely from the actions of central banks elsewhere. In doing so we neglect CPI, which is what matters to our common man, and is more the consequence of domestic monetary policy.

THE EFFECTIVE REAL INTEREST RATE, INVESTMENTS, AND SAVINGS

Of course, one reason critics may advocate a focus on WPI is because it is low today, and thus would mean low policy rates. This is short-sighted reasoning for when commodity prices and global inflation picks up, WPI could well exceed CPI [*Author's note: This, in fact, was the case at the time this book was put together*]. There is, however, a more subtle argument; the real interest rate is the difference between the interest rate a borrower pays and inflation – it is the true cost of borrowing in terms of goods like widgets or dosas. If policy interest rates are set to control CPI, they may be too high for manufacturers who see their product prices appreciating only at the WPI rate. I am sympathetic to the argument, but I also think the concern is overblown. Even if manufacturers do not have much pricing power because of global competition, their commodity suppliers have even less. So a metal producer benefits from the fall in coal and ore prices, even though they may not get as high a realization on metal sales as in the past. The true measure of inflation for them is the inflation in their profits, which is likely significantly greater than suggested by WPI.

A second error that is made is to attribute all components of the interest rate paid by the borrower to monetary policy. For heavily indebted borrowers, however, a large component of the interest rate they pay is the credit risk premium banks charge for the risk that they may not get repaid. This credit risk premium is largely independent of where the RBI sets its policy rate.

So when someone berates us because heavily indebted industrialists borrow at 14 per cent interest with WPI at 0.5 per cent, they make two important errors in saying the real interest rate is 13.5 per cent.